

# BUSINESS STUDIES

SHORT NOTES

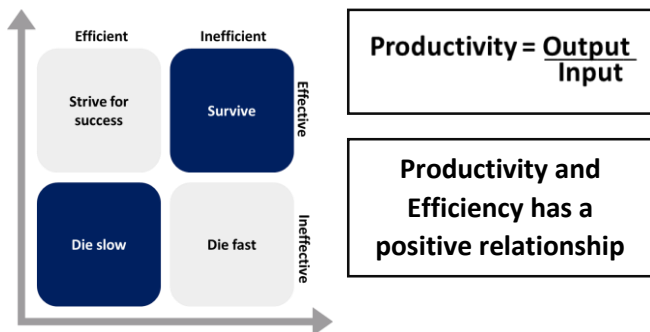
UNIT 12 - 18

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Management is the process of planning, organizing, leading & controlling the resources of the organization efficiently and effectively to achieve the goals & objectives in a dynamic business environment

| Efficiency                                           | Effectiveness                                                                                |
|------------------------------------------------------|----------------------------------------------------------------------------------------------|
| Achieve goals & objectives with low wastage or usage | Achieve goals & objectives within the given time frame according to stakeholder expectations |
| Doing things right                                   | Doing the right thing                                                                        |
| Relates to inputs                                    | Relates to output                                                                            |



**Manager** is the person responsible for planning and directing the work of a group of individuals, monitoring their work, and taking corrective action when necessary

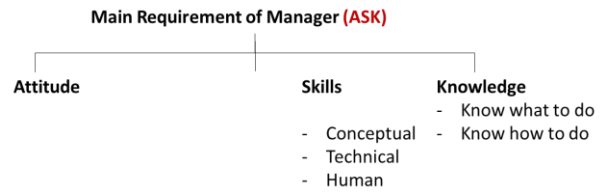
### Role of Manager – Henry Mintzberg

|                    |                                                                                                                                   |
|--------------------|-----------------------------------------------------------------------------------------------------------------------------------|
| Interpersonal Role | <b>Figurehead</b> - Head of the organization, represent                                                                           |
|                    | <b>Leader</b> – Motivate & give direction to subordinates                                                                         |
|                    | <b>Liaison</b> – Maintain relationship with internal & external parties                                                           |
| Informational Role | <b>Monitor</b> – Collect information internally and externally                                                                    |
|                    | <b>Disseminator</b> – Distribute information internally                                                                           |
|                    | <b>Spokesperson</b> – Provide information to external parties on behalf of the organization, to provide official details to media |
| Decisional Role    | <b>Entrepreneur</b> – Making changes to organization                                                                              |
|                    | <b>Disturbance Handler</b> – Avoid/solve unexpected situation                                                                     |
|                    | <b>Resource Allocator</b> – Allocate resources among organization members                                                         |
|                    | <b>Negotiator</b> – As an intermediary when problems are solved among internal and external conflicts                             |

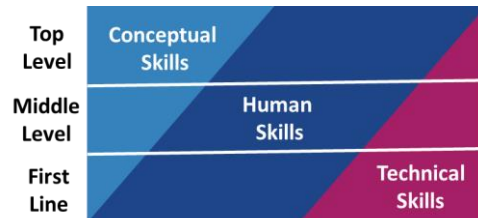
### Management Classification

#### Based on Authority

- Top Level
- Middle Level
- First Line



Managerial skills were introduced by **Robert L. Katz**



Most important skill for low level managers is **technical skills**

Most important skill for top level managers is **conceptual skills**

### Usefulness of management to achieve personal goals

- To achieve personal expectations or ambition
- To manage personal income and expenses
- To improve personal efficiency

### Usefulness of management to achieve business goals

- To maximize profits
- To distribute limited resource
- Manage business plans
- Increase market share

**Characteristics of Manager** – Impartial, Strategic, Self-confidence, humanistic

### The need & importance of management

- To set goals & objectives & to ensure their achievement
- To solve problems and provide solutions
- To face competition & be competitive
- For continuous growth

### Business Resources

**(1<sup>st</sup>) 5Ms** – Men, Money, Machine, Method, Material

**(3<sup>rd</sup>) Management Classification** – Physical resources, human resources, finance resources, information resources

**(4<sup>th</sup> Categorization)** – Land, Labour, Capital, Entrepreneurship, Knowledge, Information, Time

### Decision Making/Problem Solving Process

1. Identify the problem
2. Analyze the problems
3. Generate alternative solutions
4. Valuate alternative solutions
5. Select best alternative solution
6. Prepare plan to implement best solution
7. Implement the decision
8. Evaluate & feedback of decision

## Planning

Planning is the process of setting goals & objectives & strategies to achieve them.

### Major 3 activities of planning process

- ✓ Deciding the goals & objectives
- ✓ Deciding the ways & means (Strategies)
- ✓ Getting those decisions to plans (Documentation)

### Planning Process



### Concepts addressed in planning/ goal formulation

1. **Vision** – Long term expectations of an organization
2. **Mission** – Explains nature & direction of organization

#### Factors included in mission statement

Nature of business, target customers, market

#### Mission Statement answers following questions

What is its mission? Why does it exist?

What does it do? What does it expect to reach?

3. **Goals** – Long term achievements
4. **Objectives (Features – SMART)**
5. **Policy**
6. **Strategies**
7. **Procedures**
8. **Rules**
9. **Programs**
10. **Projects**

### Principles of Planning

- Priority      - Practicability
- Flexibility    - Simplicity
- Time period   - Efficiency
- Participation & dedication
- Based on goals & objectives

### Advantages of planning

- Business can use resources much more efficiently
- Future uncertainties can be addressed with confidence
- Provides motivation & confidence to stakeholders
- Continuous planning supports growth & existence

### Reasons for failure in plans

- Due to unexpected changes in macro-environment
- Lack of support from connected stakeholders

- Due to high competition from external parties
- Due to lack of communication and coordination

### Reasons businesses do not involve in planning

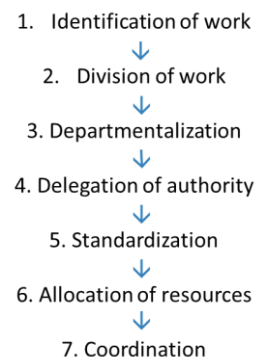
- Lack of knowledge on how to do planning
- Lack of understanding on importance of planning

**Plan** – A plan is typically any procedure used to achieve an objective. It is a set of intended actions, through which one expects to achieve a goals

## Organizing

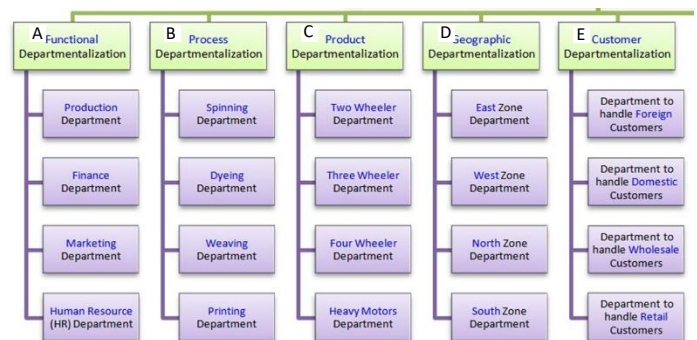
Organizing is the process of allocating the work, resources & authorities among the organizational members, in order to achieve goals & objectives that are stepped in planning.

### Main functions in Organizing (Process)



**Departmentalization** is the process of grouping activities which are similar and logically connected.

### Bases of Departmentalization



### F. Mix Base Departmentalization

**Delegation of Authority** is the formal process of transferring the authority & responsibility from top level to middle & lower level managers

### Advantages of delegation of authority

- Increase overall growth & quality of decisions
- Improve skills of subordinates

### Disadvantages of delegation of authority

- Inversely affect overall uniformity of decisions
- Instant & urgent decisions cannot be made



**Coordination** is the process of integrating or linking the organizational work, members & departments to achieve goals & objectives simultaneously as 1 organization

**Chain of Command** means decisions & authorities flow from top to lower level managers as an unbroken line

Hierarchy explains the position of an organizational member in the organizational structure

**Unity of Command** means 1 employee reports to 1 manager

**Span of Control** – Number of subordinates directly reporting to a given manager

**Wide Span of Control** – Higher number of subordinates reporting to 1 manager

| Advantages                       | Disadvantages                                    |
|----------------------------------|--------------------------------------------------|
| Lower administration cost        | Difficulty in overall supervision & controlling  |
| Top level are close to customers | Difficulty in controlling employees              |
| Speed in decisional making       | Managers are not familiar with subordinates      |
| High employee freedom            | Weak relationship between manager & subordinates |

**Narrow Span of Control** – Low number of employees reporting to one manager

| Advantages                          | Disadvantages                |
|-------------------------------------|------------------------------|
| Supervision can be made effectively | Lack of employee flexibility |
| Training can be made effectively    | High administration cost     |

| Flat Organizational Structure                                                       | Tall Organizational Structure                                                       |
|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
|  |  |
| Chain of command – Short<br>Span of control - Wide                                  | Long<br>Narrow                                                                      |

**Power** – Ability to influence others behavior

**Authority** – Legal right a person could earn from the organizational position to make **decisions**

#### Sources of Power

- **Authority [Legitimate Power]** – Legal power generated from position
- **Expert Power** – Through experience & qualifications
- **Reward Power** – Ability to give rewards [promotion]
- **Personality Power [behavioral patterns]** – Through behavior or communication style he maintains
- **Informational Power** – Access to vital information
- **Coercive Power** – Ability to impose punishments
- **Referent Power** – Earned due to being followed or referred by others
- **Charismatic Power** – Earned due to others having a greater devotion towards them

| Power                                    | Authority                            |
|------------------------------------------|--------------------------------------|
| The ability to influence others behavior | The legal right to make decisions    |
| Can be earned from many sources          | Earned from the position             |
| Is a broader concept                     | Is a narrow concept                  |
| Cannot be transferred to another person  | Can be transferred to another person |

**Accountability** – Obligation to report the level of work completed [Reporting responsibility]

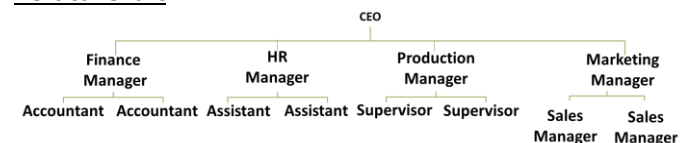
**Responsibility** – Obligation to complete given tasks

| Centralization                                                                                                                                                                         | Decentralization                                                                                                                                                      |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Authority is retained by the top level managers                                                                                                                                        | Decision are made by top, middle & lower level managers                                                                                                               |
| Advantages of Centralization                                                                                                                                                           | Advantages of Decentralization                                                                                                                                        |
| <ul style="list-style-type: none"> <li>• Common decisions can be made faster</li> <li>• Overall administration cost is low</li> <li>• Uniformity in decision making process</li> </ul> | <ul style="list-style-type: none"> <li>• Increase overall quality of decisions</li> <li>• To develop future leaders</li> <li>• Improve subordinates skills</li> </ul> |

**Organizational Structure** – Implies how business has allocated their work, authorities & responsibilities among departments & members & how they coordinate.

**Organizational Charts** – Visual presentation of organizational chart

#### Vertical Chart



#### Horizontal Chart



#### Circular Chart

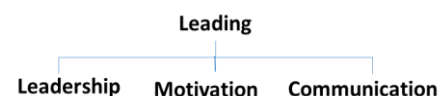


#### Limitations of Organizational Chart

- Org<sup>n</sup> chart gets outdated with business growth
- Skills & qualifications of managers can't be identified
- Informal groups can't be recognized
- Informal communication methods can't be identified

### Leading

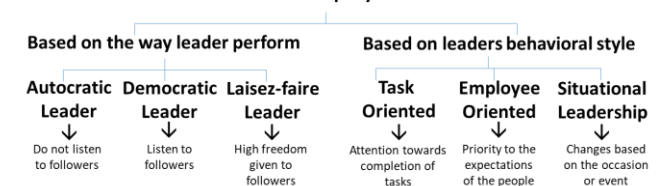
The process of influencing the behavior of the organizational members & provide them the direction & guidance to achieve goals & objectives of the business



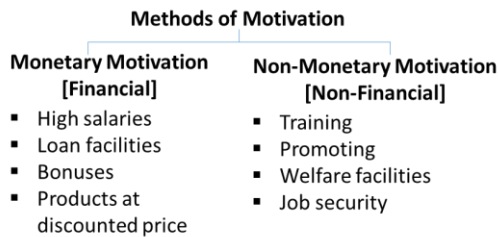
**Leadership** is the process of motivating the followers in order to achieve the expectations of the business

**Leader** is the party who has the power to influence the others behavior in order to achieve goals & objectives

#### Leadership Styles



**Motivation** is the process of encouraging organizational members to complete the work voluntarily through financial and not-financial sources



## Communication

Exchanging information between two or more parties with clear understanding is known as communication.

### Importance of communication

- To organize well the activities of the firm
- To manage human resource
- To get required information to make decisions
- To implement the overall control activities of the firm

### **Types of Communication**

#### **1. Formal Communication**

- **Horizontal Communication** – Communication between individuals at the same level
- **Vertical Communication** – Communication with individuals at different levels
  - ➔ **Downward** – Top level to low level
  - ➔ **Upward** – Low level to top level

- 2. Informal Communication** – The communication that takes place beyond the official hierarchy of the organization, officially unaccepted and without transparency is known as informal communication.

## Controlling

Comparing the actual performance with planned performance of an organization, identifying the variances if any and taking necessary actions to correct them can be said as controlling

### **Steps of Controlling**

1. Setting Standards
2. Measure actual performance
3. Compare and identify deviations
4. Take corrective actions

The group of managerial activities relevant to the planning, organizing, leading and controlling of an operation activity to attain the aims and objectives of an organization is known as **operations management**

### Importance of Operations Management

- To produce high quality goods and services
- To produce goods and services with novelty
- To face competition successfully in global environment
- To improve efficiency and effectiveness of production

### Functions of Operations Management

1. **Production Engineering** is making decisions on the production process, required plant and machinery, production schedule, required materials, deciding of required quantity of materials and their quality
  2. **Production Planning** is the planning and allocation of raw materials, workers, and workstations to fulfill manufacturing orders on time
  3. **Purchasing Materials** is obtaining the right materials in the required quantity, at required time and at minimum cost
  4. **Production Controlling** is inspecting if the goals established in accordance with production engineering and production planning, are being reached and if not, determining necessary remedial actions for them.
- Machinery control, stock control, quality control, cost control** are some of the production controls
5. **Research & Development** is collecting information regarding existing product, production process, new production planning and developing them.

### Production Methods

**Job production** refers to the production for a specific order of a customer in which one item is produced from the beginning to the end based on the current demand.

**Example:** Birthday cakes, Tailor made clothes

| Advantages                                                                                 | Disadvantages                                                                                                        |
|--------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------|
| -Risk is low<br>-High customer satisfaction<br>-Customer loyalty<br>-Higher profits margin | -High production cost<br>-No economies of scale<br>-Skilled labor required<br>-Special equipment and machines needed |

**Batch Production** is where production occurs in batches of similar items, but each batch may differ in materials, labor, quantity, types, and working hours, even though the overall process is continuous and the items are generally alike.

**Example:** Bakery items, Uniforms for preschool students

| Advantages                                                                                                                                                                                                                                             | Disadvantages                                                                                                                                                                                                                |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| -Unit cost low compared to job production<br>-Finish of product can be modified from one batch to another<br>-Can still address specific customer needs if required<br>-Receiving discounts since a relatively large amount of materials are purchased | -Unit cost high compared to flow production<br>-Individual customer satisfaction less than job production<br>-Economies of scale cannot be achieved<br>-There can be losses and wastages when production process is modified |

**Flow production** refers to the production of large amount of one kind of product on a continued basis, with an unbroken flow based on the future demand

**Example:** Production of soft drink and motor vehicle

| Advantages                                                                                                                                                                                       | Disadvantages                                                                                                                                                                    |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| -Economies of scale due to drop in unit cost<br>-New technology can be used easily<br>-Production can be offered to a larger market<br>-Division of labour and specialization can be implemented | -Initial capital requirement is very high<br>-Have to face high market risk<br>-High competition in the market<br>-Employee motivation levels can drop due to repetition of work |

| Criteria                          | Job production | Batch production            | Flow production |
|-----------------------------------|----------------|-----------------------------|-----------------|
| Volume of output                  | Very low       | Medium quantity             | Very high       |
| Product range                     | Varied         | Only few                    | Only one        |
| Flexibility of production process | Very high      | Normal                      | Very low        |
| Make to order or for stock        | For one order  | Make to order and for stock | For stock wise  |

| Factors to consider when selecting production method                                                                   | Location factors for a business start-up                                                                                                       |
|------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------|
| -Cost incurred<br>-Market size<br>-Technology used and equipment required<br>-Purchasing pattern<br>-Nature of product | -Cost<br>-Availability of suppliers<br>-Transport access and links<br>-Nature of the business<br>-Nature of product<br>-Location of competitor |

**Layout Planning** is planning of physical facilities such as workstation centers, materials, machinery and equipment, suppliers and services and many more for an efficient production procedure

### The necessity of an operational layout planning

- Maximum use of available space
- Reduction in industrial accidents
- Growth in efficiency
- Reduction in cost

1. **Process Layout** – Preparing the layout to conduct all activities to complete one stage of production at one place

| Advantages                                                                                                                        | Disadvantages                                                                                                          |
|-----------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------|
| -One machine failure won't affect production process<br>-High flexibility in machines<br>-Extremely suitable for service business | -Greater space is required<br>-Cost would increase due to high machine usage<br>-High volume of work-in-progress items |

2. **Product Layout** – Preparing the layout to flow the total production process from one station to another in a linear way

| Advantages                                                                                          | Disadvantages                                                                                                                       |
|-----------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------|
| -High level of productivity<br>-Production can be done in minimal space<br>-Time consumption is low | -Employee motivation can be low due to repetition<br>-Machines are not flexible<br>-One machine breakdown can affect entire process |

3. **Cellular Layout** – Preparing the layout by fixing similar and scalene machinery in separate cells to flow the functions of production in a production process
4. **Fixed Position Layout** – Preparing the layout to conduct the production by bringing inputs such as materials, labor, power and tools etc. to the place itself where the production takes place

### Breakeven Point [BEP]

**Fixed cost** - The cost, which up to a certain production level, doesn't change with the number of units produced

**Variable cost** - The cost that changes with the number of units produced

**Total Cost = Total Fixed Cost + Total Variable Cost**

**Total Revenue** - The revenue that businesses receive from selling its products in a specific period of time

**Total revenue = Number of Selling units x Selling price per unit**

**Contribution** - calculated by subtracting variable cost from total revenue.

**Contribution = selling price per unit – variable cost per unit**

**Profit** - Calculated by subtracting total cost from total revenue.

**Profit = Total revenue - Total cost**

BEP is the production or the selling level at which a business receives neither profit nor loss

**The number of units of the BEP =  $\frac{\text{Total Fixed cost}}{\text{Contribution per unit}}$**

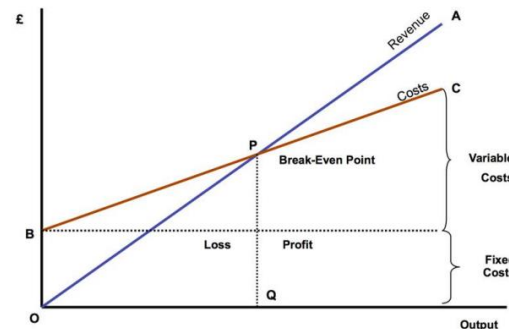
**Contribution per unit**

**Margin of safety = Sales Units – BEP Units**

**Target Profit Volume =  $\frac{\text{Total Fixed Cost} + \text{Target Profit}}{\text{Contribution}}$**

**Contribution**

BEP can be graphically represented as follows;



**Advantages & Disadvantages of BEP analysis**

| Advantages                                                                                                                                                                                  | Disadvantages                                                                                                        |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------|
| -Business can identify the production volume where they make no profit nor losses<br>-Can calculate margin of safety and target profit volume<br>-Can be used to decide production capacity | -It is not successful for long term decision making<br>-Limitations made through the assumptions at the BEP analysis |

### Purchasing materials

Materials Purchased can be;

1. Materials required for production activities
2. Materials required for the consumption of a business
3. Purchased Services

### The steps of purchasing process

- Notifying the materials requirements to the purchasing department
- Finding of a supplier
- Placement of order
- Receipt of goods
- Payment of cash

### Few of the matters that have to be considered in purchasing materials

- Product specification
- Quality of materials
- Price
- Speed in supply and the continues availability

### Stock Controlling

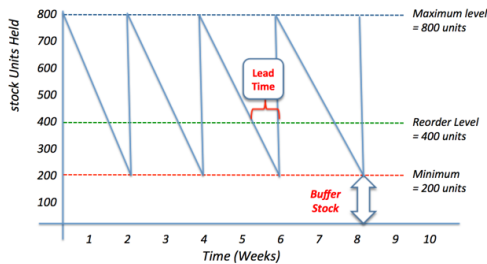
Maintaining stocks at an optimum level with the low cost in order to maintain the continuity of the manufacturing process is known as the stock control

## The necessity of stock control

- To continue the production and marketing activities
- To reduce the cost of holding the excess or the insufficient stocks
- To get the maximum use of resources such as machinery, labor etc.
- To face unexpected situations of demand.

## Stock Controlling Methods

1. **Stock Level Determining** - Making an attempt to hold stocks by determining various stock levels such as maximum stock level, minimum stock level re order level and economic ordering quantity



2. **ABC Analysis** - Firm that hold a great number material items use ABC analysis for controlling stocks. This method is done on the value of the items and required space.
3. **Two bin System** – When items in the first bin have been depleted, an order is placed to refill or replace them. The second bin is then supposed to have enough items to last until the order for the first bin arrives.
4. **Continuous Stock Recording System** – Recording the changes in stocks then and there and keeping records so as to know the balance in the store at any time
5. **Computer Program** – Using advanced computer software developed for controlling stock
6. **JIT [Just-in-time] Method** – Method of obtaining materials for production at the required time in correct quantity and delivery of the output to the market immediately.

| Advantages of JIT                                                                                                    | Disadvantages of JIT                                                                                                              |
|----------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------|
| -Holding cost is low<br>-Cash will not be stuck in stocks<br>- Management attention towards stock controlling reduce | -Low supplier reliability can lead to JIT failure<br>-High transport cost<br>-Loss of bulk discounts, Hence no economies of scale |

## Necessary Stock Levels to maintain an optimum stock

Several facts to be considered in computing stock levels are given below;

1. Consumption of materials in relation to a period.
2. Re-order period
3. Re-order quantity

Required quantity of materials for the production or selling activities in a particular period such as a day or a week or a month is known as the **consumption of materials** in relation to a period.

Consumption is determined by variations in a firm's level of production or sales, as shown below:

- Maximum quantity of consumption
- Minimum quantity of consumption
- Average quantity of consumption  $[\text{Max} + \text{Min}/2]$

The time from placing an order to stock arrival is called the **re-order period (lead time)**

**Economic Order Quantity (EOQ)** is the optimal number of units per order that minimizes both holding and ordering costs

**Re-order level** is the stock level at which a firm places a new order as existing stock gradually decreases due to production or sales.

$$\text{Re-Order level} = \text{Maximum Usage} \times \text{Maximum Order Period}$$

**Minimum stock level** is the lowest limit of stock that must be maintained to ensure uninterrupted production or sales

$$\text{Min stock level} = \text{Re-order level} - (\text{Avg usage} \times \text{Avg order period})$$

**Maximum stock level** is the highest limit of stock beyond which inventory should not increase

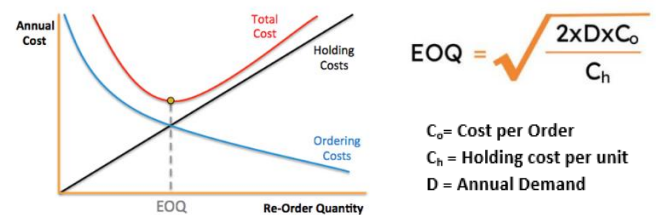
$$\text{Max stock} = \text{Re-order level} - (\text{Min usage} \times \text{Min Lead Time}) + \text{EOQ}$$

$$\text{TOTAL INVENTORY COST} = \text{ORDERING COST} + \text{HOLDING COST}$$

**Ordering Cost:** Expenses related to placing an order, including purchase price, inspection, and transportation.

**Stock Holding Cost:** Costs incurred from receiving stock into storage until it is issued for production or sales.

At EOQ; Ordering Cost = Holding Cost, Inventory cost is at lowest



**Quality** is the ability of a good or a service to satisfy the consumer needs and wants

**Elements of quality of a product;**

- Proper functioning
- In accordance to standards
- Reliability
- Durability
- Suitability
- Safety

**Importance of Quality for a firm;**

- To obtain good reputation
- To penetrate and capture the market easily
- Maximize customer loyalty and create customer loyalty
- To face competition successfully
- Reduce wastages by decreasing quality defect products
- Business survival and increase profits



**Quality Control** is a process through which a business seeks to ensure that product quality is maintained or improved

#### Quality Controlling Techniques

1. **Quality Circles** are small groups of employees performing similar tasks who identify and discuss job-related problems to find solutions
2. **Zero Defects** technique ensures every product is made without defects by aiming to get it right the first time, avoiding errors altogether
3. **Quality Assurance** involves formal procedures at each production stage to ensure product quality, focusing on preventing problems rather than detecting them
4. **Quality Standards** involve employees inspecting their own work, issuing guarantee certificates, and complying with national and international requirements beyond quality control inspections
5. **Total Quality Management [TQM]** approach to quality requires involvement of all levels employees in an organization
6. **Statistical Process Control** collects manufacturing performance data and communicates it to relevant parties using diagrams, tables, and graphs

**Productivity** is the ratio of inputs to outputs and is a key measure of production effectiveness and efficiency

|                                                                             |                                                                                 |
|-----------------------------------------------------------------------------|---------------------------------------------------------------------------------|
| Total productivity = $\frac{\text{Output}}{\text{Input}}$                   | Machinery productivity = $\frac{\text{Output}}{\text{Number of machine hours}}$ |
| Labour productivity = $\frac{\text{Output}}{\text{Number of labour hours}}$ | Material productivity = $\frac{\text{Output}}{\text{Materials}}$                |

#### Importance of Productivity

- ✓ Decide on resource allocation
- ✓ Make decisions about business expansion
- ✓ Compare productivity with similar businesses
- ✓ Monitor business progress

#### Different Forms of Productivity

- Total productivity
- Labour productivity
- Machine productivity
- Material productivity

#### Methods to Improve Productivity

- Increasing output while having a fixed input
- Decreasing input while having a fixed output
- Increasing the output while decreasing the input
- Increase output at a higher rate than increase in input
- Decrease input at a higher rate than decrease in output

#### Modern Technology Used to Improve Productivity

1. **Computer Aided Design [CAD]** is the planning of the product using computer graphics
2. **Computer Aided Manufacturing [CAM]** is the usage of computer program for managing the production process
3. **Computer Integrated Manufacturing [CIM]** is the method used for the designing of products and for managing the production process [CAM+CAD+Robotics]
4. **Computerized Numerical Control [CNC]** is the control of machinery through computer program that are used for implementing the operations of a firm
5. **Robots → Robotic Process Automation**

#### Benefits of Using Modern Technology

- Minimizes wastages
- Increases efficiency and productivity
- Minimal employee requirement
- Can launch new products to the market

#### Problems of Using Modern Technology

- Rapid change in technology
- Significant investment requirement
- Environmental pollution
- Technical issues can halt entire production process

**Market** is a collection of all true and potential customer for a product

Two primary types of market are the **Consumer market** and **Industrial goods market**

#### Types of Markets in a Market Economy

- **Resource Market** – Raw material, Labour etc.
- **Government Market** – Government buying products
- **Consumer Market** – Buying for personal use
- **Manufacturers Market** – B2B transactions
- **Intermediaries Market** – Involving middlemen

**Marketing** is the management process that is aimed at identifying, anticipating and satisfying customer requirements profitably.

#### Core Concepts of Marketing

- **Needs, Wants & Demand**
- **Target Market** → Focusing on specific customer group
- **Positioning** → Creating positive image for product
- **Market Segmentation** → Dividing market to segments
- **Offering** → Bundle of values offered to the market
- **Brands** → Group of words, a logo
- **Marketing Channels** → Various accesses that the marketers use to reach target market
- **Paid, Owned & Earned Media**
  - Paid Media → Advertising by paying money
  - Owned Media → Advertising in own digital assets
  - Earned Media → Advertising by customers
- **Impression & Engagement** → Number of times media used to reach customer is impression and extent of customers attention and involvement is engagement
- **Value** → Total evaluation by customer regarding ability of product to satisfy consumer need
- **Satisfaction** → Gratification gained by consuming product
- **Supply chain**
- **Competition.** Types of competition are **Brand Competition, Industry Competition, Form Competition & Generic Competition**
- **Exchange & Transaction**
- **Relationships**
- **Marketing Environment**

#### Importance of Marketing

| Businessmen                                                                             | Consumer                                                                                                       | Economy                                                                         |
|-----------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------|
| -To attract & retain customers<br>-To face competition<br>-To earn profits continuously | -To be informed about the market<br>-To purchase products easily<br>-Get maximum satisfaction for amount spent | -Developing entire economy<br>-Expansion of products<br>-Increase in employment |

#### Marketing Concepts

1. **Production Concept** → Focus is on massive production with efficiency. Hence cost decrease and product price will be low
2. **Product Concept** → Launch quality and innovative products
3. **Selling Concept** → Focus on aggressive promotion & selling
4. **Marketing Concept** → Offer products after research, identifying & understanding customer requirements
5. **Customer Concept** → Focus on individual preference of consumers
6. **Social Marketing Concept** → Focus on Profit, Customer satisfaction & Society [Three factor marketing]
7. **Holistic Marketing Concept**, Comprise of;
  - ✓ Relationship Marketing
  - ✓ Integrated Marketing
  - ✓ Internal Marketing
  - ✓ Performance Marketing

**Market segmentation** is the sub dividing of the market into similar groups to whom a separate marketing mix can be focused

Bases of segmentation;

- **Geographical** → Dividing market based on location
- **Demographic** → Segmenting based on measurable characteristics [Age, Gender, Income, Education, etc.]
- **Psychological** → Based on mindset of people
- **Behavioral** → Based on how people behave

**Requirements to be fulfilled for effective Segmentation Are** Measurability, Substantiality, Accessibility, Differentiability, Actionable

#### Benefits of Market segmentation

- ✓ Ability to launch marketing programs successfully
- ✓ Allow firm to utilize limited resources efficiently
- ✓ Able to minimize market risk
- ✓ Allows firm to recognize appropriate & periodic market

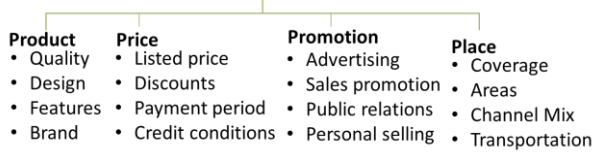
**Target Market** is the group of customers, business aims to target and serve the product attractively and profitably

- **Concentrated Marketing [Niche or target Market]**  
Focus on one specific segment & dominate it
- **Differentiated Marketing Segmented Marketing]**  
Different products for different segments
- **Undifferentiated Marketing [Mass Marketing]**  
Same product and marketing for everyone

**Market Positioning** is creating a favorable attitude in consumers' mind regarding a good or a service

**Marketing Mix** is the step of controllable variables that affirm blends to produce desired results from its chosen target market

**Marketing Mix → Product, Price, Place & Promotion [4P's]**



**Marketing Mix in a service business [7P's] → People, Processes & physical environment instead of 4P's**

**Marketing Mix in consumers' view [4C's]**

- **Customer Needs & Wants** – Product
- **Cost** – Price
- **Communication** – Promotion
- **Convenience** – Place

**Importance of Marketing Mix**

- ✓ Ability to launch product to market in a way that satisfying customer needs & increase turnover
- ✓ Consumers could be attracted via appropriate price that allows business to face competition
- ✓ Can use various promotional strategies to influence the customer to purchase the product
- ✓ Distributing products and making it available in places where consumers can purchase easily with convenience

**Product** is anything offered to the market to fulfill human needs and wants

Companies will have to ensure products contain **quality, features and design**

### Product Levels

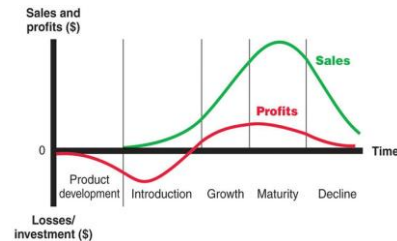
1. **Core benefit** → First level of a product which is also considered as basic benefit / core benefit
2. **Generic product** → Second level of a product. Here the core benefit becomes basic product
3. **Expected Product** → Presentation of the product with the features that the buyer expects. This is the third level of the product
4. **Augmented Product** → The product is presented to the market in a level which exceeds the customers' expectation. This is the fourth level of a product
5. **Potential Product** → Entering to the potential market through augmentation features at the planning of the product after considering the fact that the customer would demand these features in the future

### Product Mix

- ✓ **Width** - Number of product lines of the firm.
- ✓ **Length** - Number of items included in all product lines.
- ✓ **Depth** - Number of items presented under one product line.
- ✓ **Consistency** - The relationship among the types of goods.

**Product life cycle** is the amount of time a product goes from being introduced into the market until its' taken off the shelves

1. **Product Development Stage**
2. **Introduction Stage** → product introduced to target market
3. **Growth Stage** → Sales, revenue & profit increase
4. **Maturity Stage** → Sales & profits reach its peak, No major changes in profits and revenue
5. **Decline Stage** → Sales & profits gradually decrease



### Assumptions of product life cycle concept

- Product has a specific life time
- Product passes various stages brining different challenges to the marketer
- Sales & profit change at each stage
- Market follows marketing goals and strategies in accordance with nature of each stage

**Brand** is a name, sign, symbol, design or a combination of them, intended to differentiate the goods or services of one marketer or group of marketers from those of competitors

Pronounceable part of brand is **Brand Name**. Logo of the brand is **Brank Mark** & when it is registered it is **Trade Mark**

### Characteristics of a good brand

- Being short and simple
- Easy to pronounce, recognize and remember
- Give hint on basic qualities & usefulness of product
- Representing a particular culture

### Various Forms of Brand

- ✓ **Private Brand** → Sold under retailers brand name, manufactured by some other manufacturer
- ✓ **Family Brand** → Series of products under same brand
- ✓ **National Brand** → Name of business and brand is same
- ✓ **Individual Brand** → All products has different brands
- ✓ **Co brands** → Combination of 2 brands

### Usefulness of Brand

| Businessmen                                       | Consumer                                |
|---------------------------------------------------|-----------------------------------------|
| -Will be different compared to competitors' brand | -Can chose quality products             |
| -Can build recognition                            | -Can chose products with minimal effort |
| -Can easily get orders                            | -Can obtain legal protection            |

### Levels of Brand Loyalty

1. **Brand Recognition** → Low loyalty
2. **Brand Preference** → Moderate loyalty
3. **Brand Insistence** → High loyalty

Prepared by: *Abdul Majid*

**Packaging** is the function of designing and producing a wrapper outer covering or container for a particular product

### Packaging performs the following useful functions

- ✓ Protection for the product
- ✓ Convenience to the seller and the customer
- ✓ Advertising, Attraction and Attention
- ✓ Offering meaningful information to the customer

### The three levels of packaging

1. **Primary Package [For protection]**
2. **Secondary Package [For attention/Information]**
3. **Tertiary Package [To Distribute/Transport]**

### Factors to be taken into account in planning a package

- ✓ Nature of the product
- ✓ Benefits of the product from the package
- ✓ Cost
- ✓ Features of the package
- ✓ Convenience to the trader
- ✓ Providing information about the product

**Label** → Gives sufficient information to the consumers

### Elements in a label;

- Brand
- Price
- Manufacturing date
- Information about product
- Ingredients
- Expiry date

**Price** is the amount of money charged from a customer for a particular good or a service

### Factors to consider and objectives of pricing

| Factors           | Objectives of pricing       |
|-------------------|-----------------------------|
| -Cost             | -Survival in the market     |
| -Competitor       | -Profit maximization        |
| -Nature of demand | -Maximize market share      |
| -Objective        | -Maximize market skimming   |
|                   | -Product quality leadership |

### Pricing Techniques

1. **Cost oriented**
  - Market up pricing
  - Target return pricing
2. **Customer oriented**
  - Perceived value pricing
  - Value pricing
3. **Competitor Oriented**
  - Going rate pricing
  - Auction Pricing
  - Sealed Bid Pricing
4. **Group Pricing/Price Discrimination** → Different prices for different customers

### Pricing Strategies

- ✓ **Penetration pricing** → Low price to enter market
- ✓ **Price skimming** → High initial price for new innovation, gradually decreasing
- ✓ **Psychological pricing** → Price set to appear cheaper [Ex: Rs.999 instead of Rs.1000]
- ✓ **Loss leader pricing** → Sell a product at a price lower than its cost to attract customers, hoping they'll buy other profitable products
- ✓ **Prestige pricing** → Sets a higher price on purpose to create an image

**Distribution** is the process of getting the products reached from producer to consumer

**Distribution channel** consists of individuals or organizations that assist in getting products to the right place at right time

### Importance of transportation [Used for distribution]

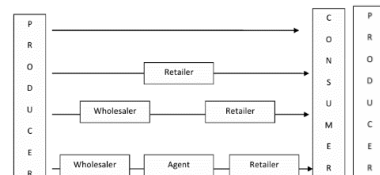
- Assist the expansion of market
- Consumer gets opportunity to consume various product
- Transportation can be done on factors such as nature of production, nature of market & nature of demand

### Product distribution channels & factors to consider

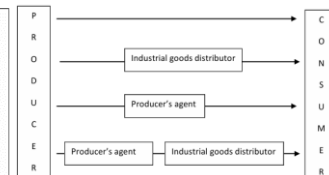
- Nature of product
- Nature of market
- Nature of demand
- Strength of producer
- Distribution channel of competitors

### Distribution channels

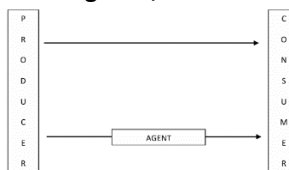
#### Consumer goods;



#### Industrial goods;



#### Service goods;



**Promotion** is communicating customers who are interested about the products with the purpose of motivating to purchase

### Importance of promotion is as follows;

- To increase brand awareness
- To introduce new products to consumers
- To increase sale of existing products
- To enhance reputation of the business

### Promotion Mix

1. **Advertising** – Paid form of non-personal presentation of information by a certain sponsor  
**Media to advertise** → Television, Radio, Newspaper, Magazines & Internet  
**Objectives of advertising** is to **Inform, Persuade, Remind Reinforce**
2. **Sales Promotion**
3. **Personal Selling**
4. **Public Relations**
5. **Direct Marketing**
6. **Events & Experiences**



**Financial Management** is obtaining fund requirements of a business organization from appropriate sources of funds via low cost and investing them effectively in business activities

Main aim of financial management is to maximize shareholder wealth

$$\text{Shareholder wealth} = \text{Market share price} \times \text{Number of shares}$$

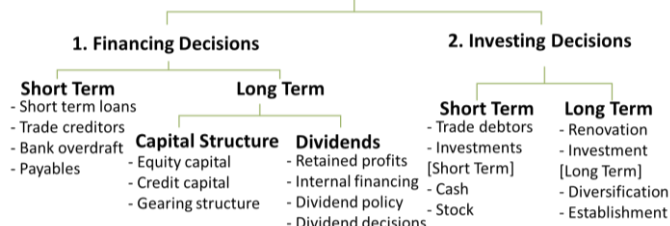
### Objectives of Financial Management;

- Profit maximization
- Maximizing Earnings Per Share [EPS]
- Establishment of long term financial stability
- Maintaining the liquidity in an optimum level

### Functions of Financial Management

- Generating funds from most suitable options
- Investing funds in most profitable options
- Maintain sufficient working capital
- Maintain financial statements according to standards

### Financial Management Decisions



- 1. Financing Decisions** – How to raise money to invest or grow the business
- 2. Investing Decisions** – Deciding where to put your money so it gives the best return

1. **Budgeting** is the process of creating a plan to spend your money. Two main forms of budget are;

- a. **Cash Budget** – The document prepared including expected receipt of money and expected payment of money in a certain future period

#### Benefits of preparing cash budget

- ✓ Facilitates overall planning and controlling
- ✓ Owners confidence on the business will increase
- ✓ Cash surplus can be identified & can plan how to invest
- ✓ Cash shortage can be identified & can plan how to solve

| Cash Inflows [Receipts] | Cash Outflows         |
|-------------------------|-----------------------|
| -Cash sales             | -Cash purchase        |
| -Receipt of loans       | -Payment of loans     |
| -Receipt from debtors   | -Payment to creditors |

- b. **Capital Budget** - process of planning how to invest an organization's current funds in long-term assets or projects to earn future benefits.

2. **Cashflow statement** – Outlines cash inflows and outflows of business in a specific historical period

$$\text{Total Assets} - \text{Total Liability} = \text{Equity [Net Assets]}$$

$$\text{Current Assets} - \text{Current Liability} = \text{Working Capital}$$

### Financial Requirements

| Short Term       | Long Term       |
|------------------|-----------------|
| - Pay Supplier   | - Purchase Land |
| - Pay Employees  | - Purchase NCA  |
| - Settle Bank OD | - Expansion     |

### Sources of Funds

#### 1. According to the ownership

| Owners Sources                                                    | Creditors Sources                                        |
|-------------------------------------------------------------------|----------------------------------------------------------|
| Required capital generated to business through owners of business | Funds generated to business through non-owners/creditors |
| - Ordinary shares                                                 | - Preference shares                                      |
| - Retained profits                                                | - Debentures                                             |
| - Non-voting ordinary shares                                      | - Loans                                                  |
| - Reserves                                                        | - Creditors                                              |

#### 2. According to the source

**Internal Sources** – Funds generated to business by business itself using internal capabilities & decisions

| Advantages                     | Disadvantages                          |
|--------------------------------|----------------------------------------|
| -Cost of obtained funds is low | -Can't generate huge amount of funds   |
| -Can obtain funds conveniently | -There can be working capital problems |
| -No need of paying back        |                                        |

**External Sources** – Funds generated from external parties according to agreements or conditions that are decided

| Advantages                        | Disadvantages                     |
|-----------------------------------|-----------------------------------|
| -Can obtain large amount of fund  | -Associated with a cost           |
| -Can expand ownership of business | -Collaterals are necessary        |
|                                   | -Liabilities of business increase |

#### 3. According to the method

**Direct Method** – Funds generated to business directly from wealthy parties or investors

| Advantages                   | Disadvantages                                          |
|------------------------------|--------------------------------------------------------|
| -Ability to obtain on time   | -Interest & dividend applicable                        |
| -No need to obey conditions  | -If business is not reputed, funds cannot be generated |
| -No need to incur extra cost |                                                        |

**Indirect Method** – Funds generated to business through the banks & other financial intermediaries

Example: Leasing, Commercial papers, Bank overdraft

| Advantages                       | Disadvantages                                   |
|----------------------------------|-------------------------------------------------|
| -No impact on management         | -Have to obey rules & conditions                |
| -No impact of business ownership | -Have to incur time & cost to prepare documents |
| -Ability to pay off on time      |                                                 |

#### 4. According to time

**Short Term Sources** – Bank OD, Creditors, Payables & Accrued expenses

| Advantages                         | Disadvantages                      |
|------------------------------------|------------------------------------|
| -No long-term bonds or liabilities | -Paying back time being reduced    |
| -Ability to obtain quickly         | -Problems in working capital arise |
| -Impact on management reduced      |                                    |

**Long Term Sources** – Bank loans, debentures, share issue

| Advantages                  | Disadvantages                 |
|-----------------------------|-------------------------------|
| -Can pay via installments   | -Dividend applicable          |
| -No need to pay immediately | -Interest charges             |
|                             | -Collaterals will be required |

## Factors to take into account when selecting source of fund

- Nature of the business
- Amount of capital required
- Period for which funds are required
- Cost involved
- Risk of the source

## Sources of Investment

| Short term investment decisions                                 | Long term investment decisions                                                             |
|-----------------------------------------------------------------|--------------------------------------------------------------------------------------------|
| Investment options with greater liquidity and low risk          | Invested into long term options with low level of liquidity and greater earning capability |
| Investments are focused upon current assets                     | Decisions are focused upon non-current assets                                              |
| Examples:<br>Trade debtors, short term investment, cash, stocks | Examples:<br>Renovation, long term investment, diversification, establishment              |

Factors to take into account prior to any investment decisions;

- Return on investment
- Risk of investment
- Environmental factors
- Influence on operations

**Working Capital** – Total amount of capital that will be required by the business to settle its short-term expenses.

| Working capital shortage              |              | Working capital surplus               |               |
|---------------------------------------|--------------|---------------------------------------|---------------|
| Working capital < Business activities | Over trading | Working capital > Business activities | Under trading |

working capital amount that will be required depends on;

- Scale of the business and operation
- Number of employees
- Nature of sales
- Production cycle

**Capital Gearing** – Proportion of a company's debt compared to equity

- High Gearing → Debt Capital > Equity Capital
- Low Gearing → Debt Capital < Equity Capital

**Advantages & Disadvantages of highly geared structure**

| Advantages                                                                                                                                                                  | Disadvantages                                                                                                                     |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------|
| -Growth rate of business will be high<br>-Suitable when business generating high profits<br>-High gearing represents high trust by external party<br>-Can earn tax benefits | -High interest charges<br>-Difficult to repay is loss is generated<br>-If loans are defaulted, can lead to negative consequence's |

## Financial statements

1. Income Statement/Statement of Profit or Loss
2. Balance Sheet/ Statement of Financial Position
3. Statement of Changes in Equity
4. Cash flows statement
5. Notes to financial statements

## Financial Ratios

|                                                               |                      |                                                                                             |
|---------------------------------------------------------------|----------------------|---------------------------------------------------------------------------------------------|
| Liquidity Ratios                                              | Current Ratio        | $= \frac{\text{Current Assets}}{\text{Current Liabilities}}$                                |
|                                                               | Quick Ratio          | $= \frac{\text{Liquid Assets}}{\text{Current Liabilities}}$                                 |
| Liquid Assets = Current Asset – [Closing stock + Prepaid exp] |                      |                                                                                             |
| Activity Ratios                                               | Inventory Turnover   | $= \frac{\text{Cost of Sales}}{\text{Average Inventory}}$                                   |
|                                                               | Debtors Turnover     | $= \frac{\text{Credit Sales}}{\text{Average Debtors}}$                                      |
|                                                               | Asset Turnover       | $= \frac{\text{Sales}}{\text{Total Assets}}$                                                |
| Leverage Ratio                                                | Debt to Equity       | $= \frac{\text{Debt Capital}}{\text{Equity Capital}} \times 100$                            |
|                                                               | Debt ratio           | $= \frac{\text{Debt Capital}}{\text{Total Capital}} \times 100$                             |
|                                                               | Interest cover       | $= \frac{\text{Profit before tax} + \text{Interest}}{\text{Interest}}$                      |
| Profitability Ratios                                          | Gross Profit Ratio   | $= \frac{\text{Gross Profit}}{\text{Sales}} \times 100$                                     |
|                                                               | Net Profit Ratio     | $= \frac{\text{Net profit before tax}}{\text{Sales}} \times 100$                            |
|                                                               | Return on investment | $= \frac{\text{PBT} + \text{Interest}}{\text{Total Assets}} \times 100$                     |
|                                                               | Return on equity     | $= \frac{\text{PAT} - \text{Preference share Dividends}}{\text{Equity Capital}} \times 100$ |

**Financial System** – System which implement financial decisions of an economy

## 1. Financial Markets

- **Money Market** – Market in which short term financial securities are traded
- ✓ **Inter-bank call money market** – Banks having liquidity shortage obtain short term loans to fulfill their requirements from the banks having excess liquidity
- ✓ **Internal foreign exchange market**
- ✓ **Commercial paper market**
- ✓ **Treasury bills market**
  - **Primary Market & Secondary Market**
- **Capital Market** – Market in which long term financial securities are traded
- ✓ **Treasury bond market**
- ✓ **Corporate bond market/debenture market**
- ✓ **Long term loan market**
- ✓ **Share market** – Market in which company shares are issued by companies and exchanged among investors

## Organizations that participate in capital market

- Colombo stock exchange
- Licensed commercial banks
- Licensed specialized bank
- Insurance companies
- Registered finance companies
- Unit trust

| Primary Market                                                                          | Secondary Market                                                              |
|-----------------------------------------------------------------------------------------|-------------------------------------------------------------------------------|
| Buying directly from issuer<br>To raise new capital to firm<br>Company issue new shares | Buying from other investor<br>To facilitate liquidity<br>Company not involved |

## 2. Financial Institutions [Unit 7]

## 3. Financial Infrastructure – SLIPS, RTGS, SWIFT, SSDS

## 4. Financial Instruments

### Colombo Stock Exchange

| Functions of CSE                                                                                                                        | Importance of CSE                                                                                                                       |
|-----------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|
| -Registering PLCs'<br>-Supporting investors to transact shares<br>-Educate general public<br>-Maintain boards<br>-Maintain institutions | -Encourages investment<br>-Investors can enjoy benefits<br>-Attract foreign investment<br>-Companies can generate a significant capital |

### The institutes & securities connected to CSE

- Stock exchange companies
- Stock brokering companies
- Central depository system
- Securities & exchange commission
- Listed companies
- Unit trust
- Investors
- Finance Ministry

**Primary Market** → Direct purchase of shares by investors from a company that involves in issuing shares

**Secondary Market** → Purchasing of shares from Colombo stock market

### Stock Brokering Firms

- 29 stock brokering firms [They are the members of CSE]
- 01 debt trading partner
- Investors can maintain CDS account through remaining 28 broker companies

### Services provided by stock brokers

- Opening accounts for investors
- Intermediary services
- Provide market information
- Provide research facilities
- Provide margin trading facilities

### Stock Market Performance

| BULL MARKET                                                                                                                                                                         | BEAR MARKET                                                                                                                                                                  |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| -Share prices are rising continuously<br>-Investors' confidence high<br>Reasons<br>-Strong economy<br>-Political stability<br>-High corporate profits<br>-Foreign investment inflow | -Share prices are falling continuously<br>-Investors' confidence low<br>Reasons<br>-Weak economy<br>-Political instability<br>-low foreign investment<br>-Adverse conditions |

### Registering in the share market

### Options to register in share market [Limited Company]

- ✓ Through Initial Public Offer [IPO]
- ✓ Through an offer for sale
- ✓ Through an introduction

### Listing procedure in CSE

- Appointment of sponsor
- Amend Articles of Association [AOA]
- Prepare prospectus
- Submit application
- Listed in either main board or dirisevi board

| 1. Main Board                                                                                                                 | 2. Dirisevi Board                                                                                                                              |
|-------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------|
| -Well-established firm<br>-Minimum public holding 25%<br>-Positive net assets for last 2 years<br>-Earned profit last 3 years | -Growing, small companies<br>-Minimum public holding 10%<br>-Positive net assets in 1 recent year<br>-Active operation period for last 2 years |

### 3. Watch List Board

### Securities exchanged in stock market

- Ordinary shares → Voting & non-voting
- Preference shares → Redeemable & Non-Redeemable
- Share warrant
- Corporate debentures
- Government debt securities

| Direct benefits                                                                          | Indirect benefits                                                                       |
|------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------|
| -Dividends [shares]<br>-Capital gains [shares]<br>-Interest [debentures]<br>-Right issue | -Voting rights<br>-Can use as collateral<br>-Capital gain free from tax<br>-Bonus issue |

### Trading Systems in CSE

1. **Automated Trading System [ATS]** – An electronic system in which the transactions related to ordinary shares take place
2. **Debt securities Trading System [DEX]** – An electronic system created in order to sell debt securities of the government and the incorporated companies

### Information included in trading systems

- Price index
- Companies statement
- Details on waiting orders
- Details about the customers

### Benefits of Trading system

- Quick settlement of transactions
- Providing of information
- Management of current liquidity

### Functions of Central Depository System [CDS]

- Open CDS account for investors
- Transfer shares among accounts
- Clearing and settlement activities of shares
- Safe custody of securities

## Securities & Exchange Commission [SEC]

| Objectives                                                                                                                                                                                                     | Functions                                                                                                                                                                    |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| -Inspect & supervise all market activities of CSE<br>-To protect investors<br>-Conduct transactions in fair manner meeting all the standards<br>-Operate compensation fund to protect investors financial loss | - Issue license for stock brokers<br>- Providing compensation in an event of loss<br>- Give consultancy to government to improve CSE<br>- Cancel the license that are issued |

## Stock Market Indicators

1. **Market Capitalization** – The Market Value of all the shares that are registered in the stock market
2. **Market Turnover** – Total value of shares that has been traded on a specific trading time [day or week]
3. **Market Volume** – Total number of shares that has been traded on a specific trading time [day or week]
4. **Market Liquidity** – Total number of shares that are getting traded in a given day out of the total number of listed shares

## Market Indices

| Indices                               | Purpose                                                                        | Formula                                                                                                                        | Base Year |
|---------------------------------------|--------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------|-----------|
| All Share Price Index [ASPI]          | Fluctuations of prices of ordinary shares of all the listed companies          | $= \frac{\text{Current Market Capitalization}}{\text{Market Capitalization of base year}} \times 100$                          | 1985      |
| S&P SL 20 Index                       | Fluctuation of the price level of 20 companies out of all the listed companies | $= \frac{\text{Current Market Capitalization of 20 Selected Companies}}{\text{Market Capitalization of base year}} \times 100$ | 2012      |
| All Share Total Return Index [ASTRI]  | Changes in share prices and income from dividends of all companies             | Total Return Index [TRI]                                                                                                       |           |
| S&P SL 20 Total Return Index [S&PTRI] | Changes in share prices and income from dividends of 20 companies              |                                                                                                                                |           |

## Importance of Share Market Indices

- Can gain knowledge about performance of the company
- Can gain knowledge about functioning of companies
- Can gain knowledge about the performance of the economy
- Can compare share market condition with other countries

Utilizing the human resources efficiently and effectively to achieve the goals and objectives is human resource management

### Uniqueness of Human Resources

- Appreciates with time
- Ability to control other resources
- Behaviours can't be predicted
- Ability to be trained

### Goals of Human Resource Management

- Maintain a satisfied and appropriate labour force that could dedicate their maximum contribution → **Main**
- Employee development and motivation
- Controlling the cost of employment
- Improving the industrial relations
- Employee welfare

### Importance of Human Resource Management

- To minimize and control labour turnover
- To improve quality of work life
- To achieve org<sup>n</sup> success via employee motivation
- To get the use of employee's competencies
- Essential to create employee development

### Functions of Human Resource Management

1. Job design
2. Job analysis
3. HR planning
4. Recruitment
5. Selection
6. Hiring
7. Induction
8. Performance appraisal
9. Training & development
10. Employee movement
11. Pay Management
12. Employee welfare
13. Discipline Management
14. Health & Safety Management
15. Grievance handling
16. Industrial relation

#### 1. Job Designing

Arrangement of **tasks, duties & responsibilities** assigned for a work unit of the firm in order to achieve a particular goal is known as the job designing

#### Job designing techniques

1. **Job enlargement** – Adding more tasks and duties to job
2. **Job enrichment** – Allocating more authorities and responsibilities to a job
3. **Job rotation** – Transferring from one job to another job to increase experience
4. **Scientific technique** – Total work is divided into sections
5. **Professional technique** – Recruiting professionals to the businesses
6. **Group technique** – Group of employees get together and perform similar tasks

### The three elements of a Job

- **Tasks** – Specific piece of work or an activity
- **Duties** – Involves multiple tasks
- **Responsibility** – Obligation to perform task or duty

#### 2. Job Analysis

Job analysis is a systematic review of the features and related behaviours of a job and the qualities that should be possessed by the employee

| Job Description                                                                                                              | Job Specification                                                                                                                  |
|------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|
| About the Work                                                                                                               | About the Person                                                                                                                   |
| -Tasks, duties & responsibilities<br>-Working hours<br>-Working conditions<br>-Salary & other benefits<br>-Nature of the job | -Academic & professional qualifications<br>-Skills & talent<br>-Prior year experiences<br>-Attitudes & habits<br>General knowledge |
| Describes the job<br>Explains job characteristics<br>Part of job description                                                 | Describes person suitable<br>Explains human character<br>Not part of job description                                               |

#### 3. Human Resource Planning

Determining future work force requirement and fulfilling those requirements through decisions to achieve goals & objectives is known as human resource planning

#### Advantages/Importance of Human Resource Planning

- Deciding the future employee requirements
- Utilizing the HR more efficiently and effectively
- Reducing the cost of employees
- Development of competent employees
- Strategic planning & implementation

#### Process of Human Resource Planning

##### 1. Planning the future Human Resource requirement

##### Influencing factors of HR demand

- Demand for the particular goods or services
- Number of employees resigning
- Future retirement
- Future projects
- Objectives of the firm
- Termination of service

##### 2. Assessing the human resource supply →

##### Internal Supply & External Supply

##### 3. Comparing the demand & supply of HR

##### 4. Developing the strategies to be implemented

##### Shortage

- Working overtime
- Outsourcing
- Training programs
- Part time/contract employees

##### Surplus

- Hire freezing policy
- Voluntary retirement
- Expand production
- Transfer to other departments

##### 5. Evaluating the efforts taken for HR planning



#### 4. Recruitment

Recruitment is the process of attracting the job seekers to apply for the vacancy

##### Recruitment Process

1. Recognizing vacancies for jobs
2. Studying the job specifications
3. Recognizing the factors affecting recruitment
4. Preparing the application form
5. Selecting ways of recruiting
6. Implementation
7. Evaluation

##### Internal Recruitment Methods → Within Organization

- Job posting
- Intranet
- Skills inventory
- Succession plan
- Referrals from internal employees

| Advantages                                                                    | Disadvantages                                                                                                     |
|-------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------|
| -Speedy process<br>-Low cost<br>-Not time consuming<br>-Workers are motivated | -High training cost<br>-Limited choices<br>-Unnecessary competition<br>-Modern knowledge doesn't flow to the firm |

##### External Recruitment Methods → Outside of Organization

- Advertisements & agencies
- Past employees
- Website
- Job fairs

| Advantages                                                                                                                                        | Disadvantages                                                                                                                   |
|---------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------|
| -Good number of choices<br>-Can attract competent and capable applicants<br>-Reduce training cost<br>-Innovation and new knowledge flow into firm | -High cost<br>-Time consuming process<br>-Demotivates existing employees<br>-Good employer employee relationship will not exist |

| Job Advertisement                                                                           |                                                  |
|---------------------------------------------------------------------------------------------|--------------------------------------------------|
| Information                                                                                 | Examples                                         |
| -Title of the job<br>-Experience<br>-Salary & other benefits<br>-Working time<br>-Age limit | -Newspaper<br>-Internet<br>-Television<br>-Radio |

#### 5. Selection

Recognizing the best applicants to fill the vacancies from those who were recruited is known as selection

##### Selection Methods

1. Evaluation of application
2. Interview
3. Tests
  - a. **Personality test** → Judge based on behaviour/qualities
  - b. **Practical test** → Apply their skills in situations
  - c. **Mental test** → Health status for a task
  - d. **IQ test** → Mental capabilities
  - e. **Background test** → Family, education, social aspects
  - f. **Apptitude test** → Determine individual ability and skills

#### Interview

| Advantages                                                                                                              | Disadvantages                                                                                                            |
|-------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|
| -Allow in depth assessment of candidate's skills & qualifications<br>-can evaluate interpersonal & communication skills | -High cost & time consuming<br>-Applicant may not show the real behaviour<br>-Creating unnecessary fear<br>-Being biased |

##### Bio Data/CV

| Advantages                                                                             | Disadvantages                                                                                |
|----------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------|
| - Assist in preparing personal files of selected candidates<br>-Having higher validity | -Inability to assess the personality factors<br>-It takes a long time to study the applicant |

##### Factors to be considered in selecting a person

- Attitude
- Knowledge
- Skills
- Physical & mental fitness

#### 6. Hiring

The process of appointing the most eligible individuals to the job is known as hiring

##### Basis in which employees can be appointed

→ Permanent, Temporary, Casual

**Appointment letter** → A letter of appointment is a legal document stating the terms, conditions, and duties of a job after appointment.

##### Important facts that consist in the letter of appointment

- Title/Position of job
- Name of employee & employer
- Job conditions
- Salary scale

##### Importance of letter of appointment

- Binds the employee and employer legally
- Acts as an evidence for employment
- Shows relationship of employer and employee
- Employee can get comprehensive details of the job

**Probation period** → service time a new employee must complete before becoming permanent.

##### Actions During Poor Performance in Probation

- Termination of service
- Warning verbally and in written form
- Extending the probationary period
- Transferring to another department

**7. Induction** → The act of introducing a new employee to the firm and its working environment

| Methods                                                            | Objectives/benefits                                                                                                     |
|--------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------|
| -Buddy method<br>-Factory tour<br>-Lectures and videos<br>-Booklet | -Motivates the employees<br>-Build confidence on employees<br>-Clearly outlook on job<br>-Generate required performance |

## Probationary/casual employees

| Advantages                                        | Disadvantages                                    |
|---------------------------------------------------|--------------------------------------------------|
| -Minimize labour cost<br>-Can terminate employees | -Lack of commitment<br>-Lack of employee loyalty |

### 8. Performance Evaluation

Process of supervising and reporting to what extent the relevant duties are performed successfully by the employee is known as performance evaluation/appraisal

| Benefits to Employer                                                                                                | Benefits to Employee                                                                                              |
|---------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------|
| -To recognize the training needs<br>-To make decisions on promotion and transfers<br>-To take disciplinary actions. | - Enhancing the employee productivity<br>- Increasing the employee motivation<br>- Recognizing the training needs |

### 9. Training and Development

| Training                                                                                                                                | Development                                                                                                                        |
|-----------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|
| -Short term program<br>-Improve Technical skilled<br>-Low cost program<br>-For Non-managerial employees<br>-Address current requirement | -Long term program<br>-Improve Conceptual skills<br>-High cost program<br>-For Managerial employees<br>-Address Future requirement |

#### On the job training methods

- Apprenticeship training
- Supervisory training
- Instructions on work
- Shadow work
- Internship
- Mentoring
- Job rotation
- Role playing

| Advantages                            | Disadvantages                            |
|---------------------------------------|------------------------------------------|
| -Can earn job experience<br>-Low cost | -Disrupts productivity<br>-Limited scope |

#### Off the job training methods

- Workshops and seminars
- Vocational courses
- Lectures and videos
- Simulation
- Coaching
- Case study

| Advantages                                   | Disadvantages                                    |
|----------------------------------------------|--------------------------------------------------|
| -High scope<br>-Doesn't disrupt productivity | -High cost<br>-Can't earn job related experience |

| Training & Development – A&D To Employer                                                              |                                                                    |
|-------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------|
| Advantages                                                                                            | Disadvantages                                                      |
| -Raise quality of product<br>-Minimize employee errors                                                | -Have to bear high cost<br>-Employee moving to other organizations |
| Training & Development – A&D To Employee                                                              |                                                                    |
| Advantages                                                                                            | Disadvantages                                                      |
| -Enhance job satisfaction<br>-More chance to get promoted<br>-Improves professional value of employee | -Extra time and effort<br>-Resistance to change                    |

## 10. Employee Movement

- **Promotion** → Moving an employee to a higher position
- **Demotion** → Moving an employee to a lower position
- **Termination** → Employee retiring or end of contract
- **Dismissal** → Fired due to disciplinary/work issues
- **Transfer** → Moving to another department
- **Layoff** → Removing employees due to company reason

## 11. Pay Management

Types → Salaries, Wages & Incentives

### Factors considered when determining pay

- Demand and supply of labour
- Financial level of business
- Risk of the job
- Living cost
- Labour rules

## 12. Employee Welfare

Examples → Food, Housing allowance, Transportation

### Disadvantages of Employee Welfare to Business

- Unnecessary cost
- May not achieve goal
- Increased expectation
- Probable misuse

### Common Benefits/Objectives of employee movement and pay management

- To retain existing employees
- To motivate employees
- To attract new employees
- To control labour cost
- Reputation of the firm

## 13. Discipline Management

The standard or employers expected behavior from the employee to carry on a business organization formally and legally can be called as discipline management

### Anti-Disciplinary Actions or Misconducts

- Willful damages to organizational resources
- Not reporting to work without prior permission
- Late attendance to the work
- Leaving work place without prior permission

### Disciplinary actions that can be taken during misconduct

- Verbal warning
- Demotion from post
- Charging for loss
- Written warning
- Dismissal from job
- Suspending from job

### Importance of Disciplinary Management

- Minimizing disputes among colleagues
- Decrease conflict between employer and employee
- Promotes seriousness in the business environment
- Create expected employee performance continuously

## 14. Health & Safety Management

The perfect mental and physical fitness of the employee to perform the tasks, duties and responsibilities of his job is called as **health**

Protecting the employees from all the hazards causing the health of the employee is called **safety**

### Factors and hazards affecting employee health and safety

- Job related accidents – Deafness, Poor eyesight
- Job related diseases – Cancer, Breathing problems
- Organizational stress

### Same Advantages & Disadvantages of Employee Welfare

## 15. Employee Grievances

Employee grievances are the mental discontent or dissatisfaction of an employee or a group of employees regarding job or working environment

### Reasons for the employee grievances

- Assigning tasks that's not in the job description
  - Employing to a job with mismatched skills
  - Changing the work place, working hours
  - Unhealthy or unsafe work environment
  - Salaries, wages & incentives being unfair
  - Policies & procedures related to promotions
  - Taking unreasonable/tough disciplinary actions
  - Breach conditions in collective agreement
- Job Related  
Work Condition Related  
HRM Policy Related  
Rules Related

**Methods to identify** → Suggestion box, survey, exit interview

### Steps to handle employee grievance

1. Listening about the grievance carefully
2. Collecting the accurate information of the grievance
3. Discussing the relevant matters with the employee.
4. Listening to the employee carefully
5. Accepting matters said by employee if they are true.
6. Build trust in the employee.

### Methods to handle employee grievances

- Formal grievance handling procedure
- Through the immediate supervisor
- Having an Open-Door policy
- Joint Committee Method
- Counselling

| Effective Grievance Handling → Advantage                                                                                    | Ineffective Grievance Handling → Disadvantage                                                                                 |
|-----------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|
| -Employee turnover reduce<br>-Employee absenteeism controlled<br>-Increase productivity & Motivation<br>-Enhance reputation | -Employee turnover increase<br>-Employee absenteeism increase<br>-Decrease productivity & motivation<br>-Damage to reputation |

## 16. Industrial Relations

Any type of professional relations between employee and employer is known as **industrial relations**

| Good Relations Benefits                                                     | Bad Relation Consequence                                            |
|-----------------------------------------------------------------------------|---------------------------------------------------------------------|
| -Employee motivation<br>-Increase productivity<br>-Employee turnover reduce | -Industrial disputes<br>-Demotivated employees<br>-Low productivity |

| Employee Rights                                                                                                       | Employee Responsibility                                                                          |
|-----------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------|
| -Earn and receive salary<br>-Job security<br>-Use allocated leaves                                                    | -Perform as expected<br>-Behave well at work place<br>-Follow rules & regulations                |
| Employer Rights                                                                                                       | Employer Responsibilities                                                                        |
| -Implement strong disciplinary procedure<br>-Introducing work ethics<br>-Ability to function according to regulations | -Pay salaries on time<br>-Ensure job security<br>-Provide leaves<br>-Making payment for overtime |

**Employee rights and responsibilities are granted through labour act and collective agreement**

### Industrial Disputes

Job related disputes arisen between employers and employees

| Reasons for disputes                                                                                  | Methods to resolve                                                                                                |
|-------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------|
| -Insufficient salaries<br>-Poor job security<br>-Unfair termination<br>-Pressurizing work environment | -Collective bargaining<br>-Collective agreement<br>-Conciliation officer<br>-Industrial tribunal<br>-Labour court |

### Employer Actions

- Close the workplace
- Removing the employee
- Work done through other employees
- Mutual aid pact → Help from other employers

| Consequences of Industrial disputes                                       |                                                                        |                                                                                                       |
|---------------------------------------------------------------------------|------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------|
| Employees                                                                 | Employers                                                              | Customer/Economy                                                                                      |
| -Demotion<br>-Job dismissal<br>-Discipline actions<br>-Promotion barriers | -Output & quality drops<br>-Affects reputation<br>-Reduce market share | -Product shortage<br>-Prices increase<br>-Drops living standard<br>-Essential services gets disrupted |

### Trade Unions

Organization that is established by employees and employers to protect their rights and for other privileges

### Objectives of trade unions

- Gain reasonable salary & pleasant working environment
- To get working hours reduced
- To get protection from job related accidents
- To participate in firms' management decisions

## Trade Union Actions/Industrial Actions

| Action                         | Definition                                                                       |
|--------------------------------|----------------------------------------------------------------------------------|
| 1. Collective bargaining       | Negotiation between management and trade unions                                  |
| 2. Work to rule                | Following every single rule and regulation and doing small quantity of work      |
| 3. Go slow                     | When workers deliberately work slowly                                            |
| 4. Working with black strip    | Working with a black strip in the hand or head                                   |
| 5. Sit ins                     | Employees refuse to leave the organization                                       |
| 6. Token strikes               | Being away from duties during a particular period after informing the management |
| 7. Continuous strikes          | Completely stop working due to failure of gaining their demand                   |
| 8. Picketing                   | Public protest by trade unions                                                   |
| 9. Boycott                     | Stoppage of work of both employees and machines                                  |
| 10. Fasting                    | Abstain from eating by employees until demands are fulfilled                     |
| 11. Abstain from working OT    | Workers refusing to work more than their normal working hours                    |
| 12. Sabotage                   | Damaging the organization's properties                                           |
| 13. Taking leaves collectively | Every employees take leaves collectively                                         |

## Criteria used in measuring the success of HRM

1. **Labour Turnover** – The rate at which employees leave the firm

$$\text{Labour Turnover} = \frac{\text{No. of employees left during the year}}{\text{Average No. of employees in that period}} \times 100$$

2. **Employee Absenteeism** – Employees getting absent from work

$$\text{Employee Absenteeism} = \frac{\text{Work days lost}}{\text{No. of work days}} \times 100$$

3. **Labour Productivity** – Relationship between the employee inputs and the outputs

$$\text{Labour Productivity} = \frac{\text{Output}}{\text{No. of employees}}$$

4. Human resource accounting  
5. Human resource scorecard method  
6. Industrial relations

## Additional

**Gratuity Payment** → Lump amount employees are entitled to get from an organization when resigning, termination or retirement if worked for more than 5 years [Not applicable if dismissed]

$$\text{Gratuity Payment} = \text{Last months basic salary} \times \text{No of year worked} \times 0.5$$

| EPF                                                                                                                                                                                                                        | ETF                                                                                                                                                                                          |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>Both employer and employee contributes</li><li>Foreign and self-employees are not entitled</li><li>Managed and administered by CBSL</li><li>Employer 12% &amp; Employee 8%</li></ul> | <ul style="list-style-type: none"><li>Employer contributes</li><li>Foreign and self-employees are entitled</li><li>Managed by ETF board under finance ministry</li><li>Employer 3%</li></ul> |

**Evolution of communication technology**

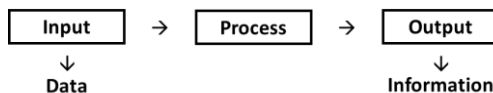
1. Nomadic Era
2. Agricultural Era
3. Industrial Era
4. Information Era

**Data & Information**

| Data                     | Information               |
|--------------------------|---------------------------|
| Raw facts and figures    | All processed data        |
| Inputs of the process    | Output of the process     |
| Has no value or meaning  | Has meaning or value      |
| Cannot use for decisions | Can use to make decisions |

**Methods of presenting data**

- Visual Data
- Numerical data
- Pictorial data
- Audio data

**Data processing procedure****Data processing functions**

- **Classifying** – Data are separated based on their features
- **Sorting** – Arranging data in a specific order
- **Calculating** – Data subjected to mathematical or rational processes
- **Summarizing** – Data are presented briefly to get an idea

**Data processing technology**

- **Manual system** – Data arranged entirely by hand
- **Semi-manual system** – system combining manual effort with mechanical assistance.
- **Electro mechanical system** - system that automates processes but still relies on human control or monitoring.
- **Electronic data processing** – Automated data processing

**Characteristics of good information**

- Completeness
- Availability
- Completeness
- Timeliness
- Accuracy
- Relevance

**Classification of Information**

- **Source** → Internal, External
- **Time** → Past, Present, Future
- **Nature** → Quantitative, Qualitative
- **Probability** → Definite, Probable
- **Production Function** → Financial, Marketing, Operations, Administration
- **Management Level** → Top level, Middle level, First line
- **Collectiveness** → Aggregate, Disaggregated

**Information System**

Integration of human activities and resources in collecting, converting and distributing information

**Importance of Information System to Business**

- Make decisions relevant to management
- To achieve organizational goals and objectives
- To face competition successfully
- To improve the productivity or organization

| Functions of I/S                                       | Components of I/S                                                                |
|--------------------------------------------------------|----------------------------------------------------------------------------------|
| -Input<br>-Process<br>-Output<br>-Storing<br>-Feedback | -Hardware<br>-Software<br>-Live ware [User]<br>-Firmware<br>-Data<br>-Procedures |

**Criteria to classify information system****1. According to the level of usage [Employees used]**

- **Strategic IS** – Make long term decisions that affect the entire organization [Chairman, Director board]

**Summarized information**

- **Management Level IS** – Direct & control operational activities [Marketing, Finance, HR manager]

**Administrative & operational information**

- **Knowledge Level IS**  
**Knowledge workers** - Create & manage information [Lawyers, Accountants, Engineers]

**Data workers** – Copy, distribute & process information [Clerks, computer operators]

- **Operational Level IS** – Supporting day to day operational activities [Work foremen, storekeepers]

**Transactional, routine & real time information****2. According to the usage**

- **Transaction Processing system [TPS]** – Processing data generated from daily frequent and routine operations [Ordering material, receive orders, preparing budgets]

**Used by: Operational level**

- **Knowledge work system** – Generate and manage new knowledge and information [CAD, CAM]

**Used by: Knowledge level – Knowledge workers**

- **Office Automation System** – Assists in processing, distributing & communicating data [email, scheduling, document preparing]

**Used by Knowledge level – Data workers**

- **Management Information System [MIS]** – Planning & controlling activities. Information through reports [Daily sales records, monthly debtor report]

**Used by: Management level**

- **Decision Support System [DSS]** – Structured and semi-structured decisional are supported [Structured – EOQ, Semi Structured – Investment Evaluation]

**Used by: Management level**



- **Executive Support System [ESS]** – Supports unstructured decisions [Strategic planning, external market analysis, long term business forecasting]  
**Used by: Strategic level**

- **Business Intelligence System [BIS]** – Initiated to strengthen ESS by collecting info from DSS and provide to ESS for non-structured decisions  
**Used by: Strategic level**

### 3. According to the function

- **Marketing** → Market research, Advertising, Promotion
- **Financial & Accounting** → Cash management, Auditing
- **Operations** → Planning & controlling of Purchase, CIM
- **Human Resource** → HR planning, Salary, Training
- **Research & Development**

### 4. Formality → Formal, Informal

### 5. Openness to environment → Open IS, Close IS

### 6. Computerization → Manual, Computer support, computer based

## Information Technology

Acquiring, processing, storing & distributing visual, pictorial, numeric and audio data by using technical resources is IT

### Components of Information Technology

- **Information Communication Technology [ICT]** – Transmitting information from one party to another
- **Information Management Technology [IMT]** – Managing the information
- **Computer Technology [CT]** – Perform calculation and processes

### Benefits of Information Technology to a firm

- Ability to make more accurate decisions easily
- Minimizing the errors in performance
- Ability to perform the tasks efficiently and effectively
- Raising the quality of the products

## Computer Networks

When several computers are connected to each other with a common purpose is known as a computer network

### 1. Based on geographical distribution

- **Local Area Network [LAN]** – Network of computers located in same department or building
- **Wide Area Network [WAN]** – Network connecting computers located in several cities of countries

### 2. Based on the users or objectives

- **Intranet** – Network under control of particular individual or institute only for internal parties
- **Extranet** – Network in which few authorized external parties too can involve [Key customer & supplier]
- **Internet** – Integrated network of computers, computer network programs, information and users of them

### 3. Based on the way they are connected [Topologies]

- **Bus Network** – All computers connected to single common line for data transmission [If one computer fails, others remain unaffected]

- **Ring Network** – Each computer connected to two other computers, forming a circular data path
- **Star Network** – All computers are connected to a central computer
- **Tree Network** – Computers connected in a hierarchical structure resembling a tree with branches

## Services of Internet

- **World Wide Web [WWW]** – A system of interlinked documents & resources that can be accessed over the internet using a web browser
- **E-mail** – Transferring electronic messages from one computer to another
- **File Transfer Protocol [FTP]** – Technique used to exchange files mutually among computers connected with internet
- **Chatting facilities** – Text, Voice, Video chatting
- **News group** – Facility provided for receiving information and exchanging views among groups with same desires
- **Tele Computing** – Facilitating the use of another computer through the internet using a computer located at a particular place is known as tele computing

## Other concepts

- **Web conferencing** – Real time online meeting over internet using browser or software
- **Video conferencing** – Live meeting with audio & video for team or group discussion
- **Multi media** – Combination of texts, image, audio, video & animation used together
- **Social Network** – Online platform where people are connected to share and communicate information
- **Virus** – Malicious software that can damage computer files
- **Artificial Intelligence [AI]** – Simulation of human intelligence processes by machines, especially computer systems
- **Big Data** – Volume, Variety, Value, Veracity, Velocity
- **Chatbots** – AI programs designed to simulate conversation with human users

### Threats to computer systems

- Malware
- Ransomware
- Phishing
- Data breaches

### Solutions to computer system threats

- Antivirus software
- Data backups
- Firewalls
- Regular software updates

### Factors needed to connect internet

- Device
- Telephone connection
- Modem
- Internet service provider
- Internet software [Browser]

**Business Idea** – entrepreneur's idea for a product to satisfy a need or want.



**Macro Analysis** – evaluating business ideas using macro environmental factors to find the most suitable one.



**Micro Analysis** – Evaluating shortlisted ideas using internal and task factors to select the most rewarding business idea.



**Business Plan** – Document which describe goals & objectives of business & strategies followed to achieve them

#### Instances where business plan is prepared

- When opening new branch
- Amalgamation
- When modifying a business
- When purchasing a business
- When obtaining a bank loan

#### Importance of preparing business plan

- To guide the business operation
- To get financial facilities required by the business
- To evaluate business performances
- To understand the future resources requirement

#### Factors to consider in preparing a business plan

- Focus
- Financial resources
- Customers
- Goals

#### Parties attracted through preparing business plan

- Potential investors
- Banks & other financial institute
- Resource providers
- Suppliers, Resource providers

#### Organizations that assist in preparing business plan

- Merchant banks
- Export Development Board
- Investment board
- Industrial Development Board

#### Key components generally included in a business plan

- Cover page & content
- HR plan
- Executive summary
- Finance plan
- Business description
- Operation plan
- Marketing plan
- Appendix

**Executive summary** – Section in which basic facts in a business plan are briefly stated aimed at external parties [Creates a fore view about entire business plan, Gives guideline & build confidence about business plan]

#### Components of executive summary

- Vision, Mission, Goal & Objectives
- Name & Address of business & history
- Good or service that is to be manufactured
- Main management of business
- Total investment

**Business Description** – A section explaining the business, its product/service, customer benefits, and exclusiveness

#### Components of business description

- Goals & objectives
- Director board
- Type of organization
- Pioneers & promoters
- Org<sup>n</sup> structure
- Detail of good & service

#### Importance of Marketing Plan

- To communicate market segmentation implemented
- To communicate growth of the target market
- Indicates sufficient and growing market for the product
- Indicates possibility to face market competition

#### Components of Marketing Plan

- **Marketing expense** – Distribution, promotion expense
- **Expected good or service to be sold** – Product, Product mix, Usage of products, Design
- **Analysis of industry & market**
- **Analysis of competitor**
- **Strategies of competitors** – 4Ps of competitor
- **Strategies of entrepreneur** – 4Ps
- **Expected sales** – Size of target market
- **Target market**
- **Sales forecast**

#### Importance of operating plan

- Early awareness of future operations
- Reduced waste and delays
- Improved product quality
- Continuous manufacturing flow

#### Components of operational plan

- Raw material requirement
- Production plan
- Employee Requirement
- Layout plan
- Manufacturing overheads
- Environmental influence and Disposal of wastage
- Total manufacturing and unit cost
- Equipment & Machines requirements

#### Importance of Human resource plan

- Forecasting future employee needs and costs
- Efficient use of human resources
- Lower unplanned recruitment costs
- Opportunity to hire highly skilled employees

#### Details included in a human resource plan

- Organization chart
- Organization structure
- Details about entrepreneurs/partners
- Managerial skills
- Annual expenditure for the human resources

### **Importance of finance plan**

- Determining required business funds
- Making investment decisions
- Anticipating financial shortages and solutions
- Managing excess funds through effective investments

### **Elements in a financial plan**

- 1. Estimated project cost [Capital requirement]**
  - a. Fixed Costs
  - b. Pre-operational expenses
  - c. Total working capital
- 2. Loan repayment chart**
- 3. Estimated Income Statement**
- 4. Estimated Statement of Financial Position**
- 5. Estimated Cash flows**
- 6. Summary of project**
- 7. Ratio analysis**
- 8. Break-even point**

### **Project Report**

Project reports are almost same as the business plan with minor differences of project report having an end date whereas business plan doesn't

**This short note has been prepared by highlighting the most important points, covering the majority of the syllabus. However, please note that certain parts may be missed. If there are any mistakes that needs to be corrected, kindly send a WhatsApp message to 0753987989**

